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Create a Tax Rate

How-to Guide

The Tax Rate is used to calculate the tax amount for the related item by referencing the Sales Order Line's Sale Price. While the amount appears as a Sales Order Line, the Tax Percentage will not appear to users during checkout. System Admins can create multiple Tax Rates within a Tax Class. These rates will be applied to transactions based on their associated Tax Locale.

Create a Tax Rate:

1. From the Item Class tab, select the **Tax Class** that you will be adding a Tax Rate to.
2. From the Tax Class record, select Related to access the related lists.
3. Locate the **Items** related list and select **New**. The **New Item** modal will open.
4. In the **Information** section, type a name in the **Item Name** field.

New Item

Information

4

* Item Name

5

Business Group

Search Business Groups...

6

* Item Class

Tax Class

Is Active

☐

Enable Access Permissions

☐

Disable Price Rules

☐

Not For Individual Sale

☐

Event

Search Events...

Item Price

Item Cost

Currency

USD - U.S. Dollar

Description and Images

Image URL

https://package-assets.s3.amazonaws.com/master/emerald/img/placeholders/item.png

Display Name

Line Description

5. In the **Business Group** field, Select the Business Group that the Item Class will be connected to.
6. Check the **Is Active** checkbox.

7. In the **Tax Rate** section, check the **Is Tax** checkbox.

Home (/s/) New Item

Tax Rate

7 Is Tax ☐

8 Tax Locale

9 Tax Percent

Is Default Tax Rate ☐

Shipping Rate

Is Shipping Rate ☐

Is Default Shipping Rate ☐

Shipping Region

Delivery Method

Minimum Weight

Maximum Weight

Minimum Value

Maximum Value

GL Accounts

Income Account

Adjustment Account

Refund/Credit Account

Deferred Revenue

Cancel Save & New Save

8. In the **Tax Locale** field, Select the **Tax Locale** that the Tax Rate (item) is associated with.

9. Enter a value in the **Tax Percent** field to designate the rate to be used to calculate the tax amount to be assigned to taxable items.

10. Select **Save**.

How does purchasing a Taxable Item affect my records in Salesforce?

When purchasing a taxable item, the Tax Rate will create the following records (when applicable):

- Sales Order Line(s)
- Invoice Line(s)
- Receipt Line(s)
- ePayment Line(s)

You will also notice the following adjustments (Closings and Postings) of your Sales Order journals:

- A debit to the Cash account for the total amount on the Sales Order.
- A credit to the Revenue Account for the sale price of the item.
- A credit to the Tax Liabilities GL accounts for the amount of the Sales Tax or VAT.

When multiple items are purchased with different tax classes, the Sales Order reflects all the taxes that apply.

Related Documentation

- [Taxes](https://fun.fonteva.com/s/article/taxes) (https://fun.fonteva.com/s/article/taxes) Topic Outline
- [Create a Tax Class](https://fun.fonteva.com/s/article/create-a-tax-class) (https://fun.fonteva.com/s/article/create-a-tax-class) How-to Guide
- [Create a Tax Locale](https://fun.fonteva.com/s/article/create-a-tax-locale) (https://fun.fonteva.com/s/article/create-a-tax-locale) How-to Guide
- [Create a Taxable Item](https://fun.fonteva.com/s/article/create-a-taxable-item) (https://fun.fonteva.com/s/article/create-a-taxable-item) How-to Guide

- **Apply Tax Inclusive Pricing** (<https://fun.fonteva.com/s/article/apply-tax-inclusive-pricing>) How-to Guide Home (/s/)

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- Taxes (/s/article/taxes)
- Apply Tax Inclusive Pricing (/s/article/apply-tax-inclusive-pricing)
- Create a Taxable Item (/s/article/create-a-taxable-item)
- Create a Tax Locale (/s/article/create-a-tax-locale)
- Create a Tax Class (/s/article/create-a-tax-class)

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